

QUESTION 1 (20 marks)

(a) (i)

Permata Sdn Bhd
Bank reconciliation statement
As at January 31, 2022 /

Balance per bank statement	RM	RM
(+) Deposits in Transit:		10,315 /
Bona Bhd		2,530 /
		12,845
(-) Outstanding Cheques:		
No. 1085	(590) /	
No. 1089	(120) /	
No. 1090	(8,700) /	
No. 1091	(240) /	(9,650)
Adjusted Bank Balance		3,195 /
Balance per cash book		(380) /
(+) Dividend	1,560 /	
Accounts Receivable	2,300 /	3,860
		3,480
(-) Bank service charge	(15) /	
Accounts Payable (2,747 – 2,477)	(270) /	(285)
Adjusted Cash Balance		3,195 /

(14 / x ½ = 7 mark)

(ii)

2022 Jan 31	Dr Bank Cr. Dividend revenue	1,560 /	1,560 /
	Dr Bank Cr Accounts Receivable	2,300 /	2,300 /
	Dr Cheque book charges Cr Bank	15 /	15 /
	Dr Accounts Payable Cr Bank	270 /	270 /

(8 / x ½ = 4 mark)

(b)

Date	Particular	Debit	Credit
2020 Dis 31	Account Receivable Sales	400,000/	400,000/
	Bad debts Expenses Account Receivable	5,000/	5,000/
	Account Receivable Bad Debts Recovery	7,000/	7,000/
	Bank Account Receivable	7,000/	7,000/
	Bad Debts Expenses Allowance for Doubtful Account (2% x (400000-5000+7000-7000))	7,900/	7,900/

Date	Particular	Debit	Credit
2021 Dis 31	Account Receivable Sales	250,000/	250,000/
	Allowance of doubtful Account Account Receivable	2,500/	2,500/
	Bank Account Receivable	380,000/	380,000/
	Bad Debts Expense Allowance of Doubtful Account (3% x 262,500)	2 475/	2,475/

(18 / X ½ = 9 mark)

(Account and amount correct to get 1 mark)

QUESTION 2 (20 marks)

(a) (i)

$$\begin{aligned}\text{Ending inventory units} &= 3,600\checkmark - 2,400\checkmark \\ &= 1,200 \text{ units } \checkmark\end{aligned}$$

(3 x ½ = 1.5 marks)

First in First Out (FIFO)

$$\begin{aligned}\text{Ending inventory cost} &= 750 \checkmark \times \text{RM}66.00 \checkmark = \text{RM}49,500 \\ &\quad 450\checkmark \times \text{RM}60.00\checkmark = \underline{\text{RM}27,000} \\ &\quad 1,200 \qquad \qquad \qquad \text{RM}76,500\checkmark\end{aligned}$$

$$\text{Cost of goods sold} = \text{RM}211,500 - \text{RM}76,500 \checkmark$$



= RM135,000

(6 x ½ = 3.0 marks)

First in First Out (LIFO)

Ending inventory cost = 450 ✓ x RM50.00 ✓ = RM22,500
 600 ✓ x RM55.00 ✓ = RM33,000
 150 ✓ x RM58.00 ✓ = RM8,700
 1,200 RM64,200 ✓

Cost of goods sold = RM211,500 – RM64,200 ✓
 = RM147,300

(8 x ½ = 4.0 marks)

Weighted average

Average cost per unit = RM211,500 / 3,600 unit = RM58.75 ✓

Ending inventory cost = 1,200 unit x RM58.75 ✓
 = RM70,500

Cost of goods sold = RM211,500 – RM70,500 ✓
 = RM141,000

(3 x ½ = 1.5 marks)

(ii)

Date	Account Titles and Explanation	Debit (RM)	Credit (RM)
June 30	Accounts Receivable	76,500 ✓	
	Sales		76,500 ✓
	(To record credit sales, (900 x RM85) ✓		
July 30	Purchases	43,500 ✓	
	Accounts payable		43,500 ✓
	(To record goods purchased on account) ✓		
	(750 x RM58)		

(6 x ½ = 3 marks)

(b)

(i) Last In First Out (LIFO)

Date	Purchase			Cost of goods sold			Balance		
	Units	RM	RM	Units	RM	RM	Units	RM	RM
2021 April 1							12	550	6,600√
4	10	580	5,800 √				12 10	550 580	6,600√ <u>5,800</u> √ 12,400
7				10 1 11	580 550	5,800 √ <u>550</u> √ 6,350	11	550	6,050√
13	6	560	3,360 √				11 6	550 560	6,050√ <u>3,360</u> √ 9,410
19				6 2 8	560 550	3,360 √ <u>1,100</u> √ 4,460	9	550	4,950√
26				2	550	1,100	7	550	3,850√
				Cost of goods sold = RM11,910			Ending inventory = RM3,850		

(14 x ½ = 7.0 marks)

QUESTION 3 (20 marks)

- (a) (i) Depreciation expense for 2020 (straight line method)
 $= \frac{\text{RM180,000} \sqrt{ } - \text{RM8,000} \sqrt{ }}{10 \sqrt{ }}$
 $= \text{RM17,200}$

	Account titles and explanations	Debit (RM)	Credit (RM)
2020 Dec 31√	Dr Depreciation expense - Vehicle Cr Accumulated depreciation - Vehicle	17,200√	17,200√

[6√ x ½ mark = 3 marks]

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- (ii) Depreciation expense for 2020 (reducing balance method)
 $= 10\% \checkmark \times \text{RM}180,000 \checkmark$
 $= \text{RM}18,000$

	Account titles and explanations	Debit (RM)	Credit (RM)
2020			
Dec 31 $\checkmark$	Dr Depreciation expense - Vehicle	18,000 $\checkmark$	
	Cr Accumulated depreciation - Vehicle		18,000 $\checkmark$

[5 $\checkmark$ x $\frac{1}{2}$ mark = 2.5 marks]

(b) (i)

Date	Account titles and explanations	Debit (RM)	Credit (RM)
2022			
July 5 $\checkmark$	Dr Depreciation expense - Machine	2,400 $\checkmark \checkmark \checkmark \checkmark *$	
	Cr Accumulated depreciation - Machine		2,400 $\checkmark$
	(To record depreciation on machine) $\checkmark$		
	OR		
	*[(RM50,000 $\checkmark$ - RM2,000 $\checkmark$) x 10% $\checkmark$ x 6/12 $\checkmark$]		
	Dr Machine	70,000 $\checkmark$	
	Accumulated Depreciation - Machine	24,800 $\checkmark \checkmark \checkmark \checkmark \checkmark \checkmark **$	50,000 $\checkmark$
	Cr Machine		7,000 $\checkmark$
	Cash		37,800 $\checkmark \checkmark \checkmark \checkmark ***$
	Gain on disposal		
	(To record disposal of machine and gain on disposal) $\checkmark$		

OR

**Calculation of depreciation expense and accumulated depreciation:

Years	Calculation	Depreciation expense
2017	$(RM50,000\checkmark - 2,000\checkmark) \times 10\%\checkmark \times 8/12\checkmark$	RM 3,200
2018 - 2021	$RM4,800\checkmark \times 4\checkmark$	RM 19,200
2022	$RM4,800 \times 6/12$	<u>RM 2,400</u> $\checkmark$
Accumulated depreciation		<u>RM 24,800</u>

OR

$$\begin{aligned} \text{***Book value} &= RM50,000\checkmark - RM24,800\checkmark \\ &= RM25,200 \end{aligned}$$

$$\begin{aligned} \text{Gain on disposal} &= \text{Trade in value} - \text{Book value} \\ &= (RM70,000\checkmark - RM7,000\checkmark) - RM25,200 \\ &= RM37,800 \end{aligned}$$

[22 $\checkmark$ x $\frac{1}{2}$ mark = 11 marks]

(ii)

	Account titles and explanations	Debit (RM)	Credit (RM)
2022 Dec 31 $\checkmark$	Dr Depreciation expense - Machine Cr Accumulated depreciation - Machine (To record depreciation on machine) $\checkmark$ OR *[(RM70,000 $\checkmark$ - RM5,000 $\checkmark$) x 11% $\checkmark$ x 6/12 $\checkmark$]	3,575 $\checkmark\checkmark\checkmark\checkmark$ *	3,575 $\checkmark$

[7 $\checkmark$ x $\frac{1}{2}$ mark = 3.5 marks]

QUESTION 4 (25 marks)

(a) i)

	Date	Particulars	Debit	Credit
1.	Oct 1	Cash/Bank✓ Notes Payable✓	120,000✓	120,000✓
	Dec 29	Notes Payable✓ Interest Expense✓ (12%✓ x 120,000✓ x 90/365✓) or Cash/Bank✓	120,000✓ 3,550.68✓✓✓	123,550.68✓
2.	Jul	Accounts receivable / Bank / Cash✓ Sales✓	160,000✓	160,000✓
		Warranty Expense✓ (160,000✓ x 8%✓) or Warranty Payable✓	12,800✓✓	12,800✓
	Sept	Warranty Payable✓ Cash/Bank✓	8,000✓	8,000✓

[25✓ x ½ = 12.5 marks]

(a) ii)

i)

Date	Particulars	Debit	Credit
2020 Jan 1	Bank Mortgage Payable	200,000✓	200,000✓

[2✓ x ½ = 1 marks]

ii)

Month	Monthly Installment (A) RM	Interest expense 200,000✓x5.5%✓x1/12✓ (B) RM or	Reduction of outstanding balance (A-B) RM	Outstanding balance RM
Principal				200,000
1	2500	916.67✓✓✓	1583.33✓	198,416.67✓

[5✓ x ½ = 2.5 marks]

iii)

Date	Particulars	Debit	Credit
2020 Feb 1	Interest Expense	916.67✓	
	Mortgage Payable	1583.33✓	
	Bank		2500✓

[3✓ x ½ = 1.5 marks]

(b)

Matrix Partnerships
Statement of Changes in Equity
For the year ended 31 December 2020

	Rahim (RM)	Lim (RM)	Maniam RM	Total (RM)
Beginning capital	40,000 /	40,000 /	-	80,000
Add:				
Additional capital	-	-	20,000 /	20,000
Net Profit	48,000*//	48,000*//	24,000* //	120,000
	88,000	88,000	44,000 /	220,000
Drawings	(25,000) /	(25,000) /	-	(50,000)
Ending capital	63,000 /	63,000 /	44,000 /	170,000

*Calculation distribution of profit sharing among partner's:

Rahim : RM120,000 x 2/5 = RM48,000

Lim : RM120,000 x 2/5 = RM48,000

Maniam : RM120,000 x 1/5 = RM24,000

(15 / x ½ = 7.5 marks)

